influence over recipient countries (Andersen, Hansen, and Markussen 2006; Kilby 2013). Third, IO bureaucrats, motivated by what has been termed the "disbursement imperative," prioritize getting funds out the door to justify their work and advance their careers (Weaver 2008).

Given these dynamics, we hypothesize that countries led by populist leaders receive fewer and less stringent conditions on loans from IFIs. By easing the burdens of conditionality, IFIs can retain populist participation, balancing the need for engagement against the risks of populist exit. This hypothesis aligns with broader patterns of IO behavior, where institutional flexibility is employed to navigate political resistance and sustain participation in a fragmented global order.

5.3 Testing IO Concessions to Populists through Conditional Lending

To investigate whether IOs appease populist leaders by granting concessions, we analyze data on conditional lending from the IMF and World Bank. Conditionality, which is politically sensitive and economically significant, serves as an ideal lens to examine these dynamics. Countries with leverage, like those that are close to the United States, hold temporary membership on the UNSC, or belong to competitor institutions, often obtain relatively lenient conditionality packages (Stone 2011; Vreeland and Dreher 2014; Clark 2022). We argue that populists, by credibly threatening disengagement from IOs, can achieve similar outcomes.

In both cases, we use a count of binding conditions imposed in a given project as a proxy for the intrusiveness of conditionality.[8] This count serves as our primary dependent variable. As a robustness check, we also measure the number of policy areas covered by these conditions, which offers an additional metric of the burden of conditionality (Stone 2008). Programs encompassing more policy areas are presumed to be more onerous.

We sourced data on IMF conditionality from Kentikelenis, Stubbs, and King (2016) covering 1978–2014 and on World Bank conditional loans from Clark and Dolan (2021) covering 2000–2018. Our unit of analysis is the country-year. The IMF models include country- and year-fixed effects to account for temporal shocks and country-specific factors, while the World Bank models incorporate only country-fixed effects; Clark and Dolan